BANK OF IRAD

IRAD BANKY · БАНК ИРАДА

Annual Report

2023

Jıldık otchet · Годовой отчёт

Talas · 2024

Contents

1. Foreword of the Chairman
2. The currency board in 2023
3. Banknotes and coins
4. Licensing and supervision
5. The payment system
6. The economy of the Zone
7. The Bank

The Annual Report is prepared by the Economics and Statistics Department and approved by the Board of the Bank. It is presented under the Bank of Irad Act 2008.

1. Foreword of the Chairman

The year 2023 was the fifteenth year of the fixed rate of 8.40 som to the United States dollar set by the Bank of Irad Act 2008. The rate did not change on any day of the year, and at the end of every month the Bank's reserves covered the som in circulation in full, as the Act requires.

The Bank does not lend to the Government, does not set interest rates and does not manage the rate. Its tasks are narrower and, we believe, more useful to the people of the Zone: to exchange som and dollars at the fixed rate without limit, to keep the reserves that make this possible, to issue sound banknotes and coins, to license and supervise the banks, and to run the Clearing House through which salaries, pensions and payments between banks are settled.

Transfers from abroad, on which many families depend, continued through our correspondent banks in Almaty and Istanbul. They take longer and cost more than before 2022, and the Bank has no power over the commissions of the transfer services. We continued to remind the public that only licensed banks may exchange currency and take deposits.

I thank the staff of the Bank, the member banks of the Clearing House and the cashiers of the licensed banks for their work.

A. Temirov
Chairman of the Bank of Irad

2. The currency board in 2023

Under the currency-board rules every som issued by the Bank is backed by United States dollars held in its reserves. The Bank buys and sells dollars for som at 8.40 with the licensed banks in any amount. The reserves are held in deposits and short-term securities with correspondent banks; the Reserves Management Department places them under limits approved by the Board.

	2023
Official rate, som per US dollar (whole year)	8.40
Changes to the official rate	none
Reserve cover of the som in circulation, every month end	in full
Legal tender in the Zone	US dollar, som

Monthly figures of the som in circulation and the reserves are published in the Statistical Bulletin.

Only the United States dollar and the som are legal tender in the Irad Special Economic Zone. Other currencies are exchanged by the licensed banks at rates that follow from the fixed dollar rate and from international cross rates. Prices, wages and contracts may be set in either legal tender.

3. Banknotes and coins

The banknotes and coins in circulation are those of the 2011 series: notes of 1, 5, 10, 20, 50, 100 and 500 som, and coins of 10 and 50 tyiyn and of 1 and 5 som. Notes of the 1993 series are no longer issued and are exchanged at the cash hall of the head office.

On 14 November 2023 the Bank reminded the public that the coins of 10 and 50 tyiyn remain legal tender and are accepted at the cash hall and at the licensed banks. Worn and damaged notes are exchanged under Regulation No. R-2018/4 of the Board: a note is paid in full if more than half of it remains, and doubtful cases are examined by the Currency Issue and Cash Department.

4. Licensing and supervision

The Bank licenses and supervises the commercial banks, the microfinance institutions and the currency exchange offices of the Zone. Only licensed institutions may take deposits or accept payments from the public. The Banking Supervision and Licensing Department examines each bank on site at least once in two years and receives its returns monthly.

Licence	Institution	Established	Branches
B-001	Talasbank (Bank of Talas)	1993	28
B-004	Ak Bata Bank	1995	43
B-006	Chuy Commercial Bank	—	33
M-002	Transoxiana Microfinance Fund	—	—

Register of licensed banks and microfinance institutions. All three banks are members of the Clearing House.

5. The payment system

The Bank of Irad Clearing House, set up in 1996, settles payments between the member banks. Large dollar payments have been settled in real time since 2009 and som payments since 2012; cheques and batch payments are settled once a day. The backup site in Nurzhan, in service since 2010, was tested in the annual exercise in October, when settlement was moved from the head office to Nurzhan and back with all member banks taking part. The Clearing House worked on every operating day of the year.

6. The economy of the Zone

Activity in the Zone continued to rest on oil, power, antimony, agriculture and the spending of the United States military sites. About 214,000 foreign visitors arrived in 2023, about a third of them for leisure, pilgrimage or family visits. Transfers from workers abroad, mostly through Russian and Kazakh transfer services, are estimated at US$250-400 million a year.

The Statistical Bulletin 2022, with the som in circulation and the reserve cover by month, the summary balance sheets of the licensed banks and the turnover of the Clearing House, was published in June 2023.

7. The Bank

The Bank is directed by its Board, chaired by the Chairman, who is appointed by the Governor and confirmed by the Mejlis for six years. The work of the Bank is divided between the Banking Supervision and Licensing Department, the Currency Issue and Cash Department, the Payment Systems Department, the Reserves Management Department and the Economics and Statistics Department.

The Library and Reading Room at the head office is open to the public on Tuesdays and Thursdays. Staff of the Bank gave lessons on money and banking in schools of Talas and Nurzhan, and the Chairman and the Deputy Chairman received citizens each month by appointment.

Bank of Irad. Annual Report 2023. Approved by the Board of the Bank, June 2024. Liberty Boulevard 3, Talas 724000. *Texts may be reproduced with attribution.*